

THE 2026 EDITION

Buying Property in Mexico

The Complete 2026 Guide for American & Canadian Buyers

Everything you need to know about fideicomisos, closing costs, the legal process, and the mistakes most buyers make.

Published by Living In Cabo — in partnership with Ronival Real Estate, the largest and most trusted brokerage in Baja California Sur.

Welcome

If you're reading this, you're probably doing the same thing a million other Americans and Canadians have already done: looking south at Mexico and wondering if the dream — a beachfront home, a casita in the hills, a condo near the water, a retirement base with 350 days of sunshine a year — is actually real, actually legal, and actually worth the paperwork.

The short answer is yes to all three.

The long answer is this guide.

Over 1 million Americans already own property in Mexico. Tens of thousands more buy every year. The legal framework has been in place since 1971, the banking system is stable, the process is regulated, and — if you know what you're doing — it's not much harder than buying a house in your hometown.

The problem is that most buyers don't know what they're doing. They read half an article on a travel blog, watch a YouTube video made by someone trying to sell them a course, or get bad advice from a friend who "knows a guy." They show up in Mexico with a cashier's check and a vague idea of what a fideicomiso is, and they spend the next three months learning expensive lessons the hard way.

This guide is the antidote. We built it from the ground up to answer every real question an American or Canadian buyer needs answered *before* they make an offer. No fluff, no tourist-brochure language, no glossing over the parts that matter.

Read it once. Keep it handy. Use it as a checklist. And when you're ready to actually look at properties — reach out. That's what we do.

Coach Aaron & the Living In Cabo team

What's Inside

Chapter 1 — Can Americans Legally Own Property in Mexico? **Chapter 2** — The Fideicomiso, Explained Like You're Five **Chapter 3** — The Restricted Zone and Why It Matters **Chapter 4** — The Step-by-Step Buying Process (From Offer to Keys) **Chapter 5** — Closing Costs and Fees: The Real Numbers **Chapter 6** — Where to Buy: A Tour of the Los Cabos Regions **Chapter 7** — The 10 Most Expensive Mistakes Buyers Make **Chapter 8** — What Life Actually Costs Once You Live There **Chapter 9** — Myths That Cost Buyers Money **Chapter 10** — Your Buyer's Checklist + Next Steps

CHAPTER 1

Can Americans Legally Own Property in Mexico?

The one-sentence answer

Yes. Americans and all foreigners can legally own property anywhere in Mexico, with full ownership rights — including the right to sell, rent, remodel, and pass it to your heirs.

That's it. There's no catch, no loophole, no "technically you're leasing it from the government" twist. The Mexican Constitution guarantees foreign property rights, and the legal framework has been in place since 1971 — more than half a century of millions of successful transactions.

Where the confusion comes from

The confusion comes from one specific rule in the Mexican Constitution: foreigners cannot hold *direct deed title* to property in the "restricted zone" — the area within 50 kilometers (about 31 miles) of any Mexican coastline and within 100 kilometers (62 miles) of any international border.

Why does this rule exist? It was written in 1917, in the aftermath of a war with the United States that ended with Mexico losing half its territory. The restricted zone was a national-security provision — a constitutional firewall against foreign powers quietly buying up border and coastal land.

But by the 1970s, it was obvious that this rule was also blocking legitimate foreign investment and real estate demand. So in 1971, Mexico created the **fideicomiso** — a bank trust structure that lets foreigners own property in the restricted zone with every practical right of full ownership, while technically satisfying the constitutional requirement that the *deed* be held by a Mexican entity.

The fideicomiso is not a workaround or a gray area. It is the legal mechanism that the Mexican government designed specifically to enable foreign ownership in the restricted zone. It is supervised by the Ministry of Foreign Affairs (SRE) and regulated by the National Banking and Securities Commission (CNBV).

What "full ownership rights" actually means

When people hear "the bank holds the title," they picture a landlord situation. That's wrong. As the beneficiary of a fideicomiso, you have:

- **The right to occupy** the property, leave it vacant, or do neither
- **The right to rent it out** (short-term or long-term) and keep 100% of the income
- **The right to remodel, expand, or demolish** any structures on the property
- **The right to sell** at any time, at any price you negotiate, without needing the bank's permission
- **The right to pass the property to your heirs** through your will or through named beneficiaries in the trust itself
- **The right to use it as collateral** for loans
- **The right to transfer** the trust to a different bank if you don't like your current trustee

The bank's role is administrative. They hold the deed on paper, they cash your annual fee, and they sign whatever documents you tell them to sign when you decide to sell or transfer. They do not make decisions about your property. They cannot prevent you from doing anything with it. They cannot take it from you.

Who should own what

For the vast majority of American and Canadian buyers in Los Cabos, the fideicomiso is the right answer. It's the standard approach for:

- Vacation homes
- Retirement homes
- Rental investment properties (short-term and long-term)
- Condos, villas, raw land, beachfront lots — anything residential

A Mexican corporation (SA de CV or S de RL) can hold *direct* title to property in the restricted zone, but it only makes sense for commercial property, development projects, or when multiple unrelated investors are involved. Corporations come with annual tax filings, accountant fees, and corporate maintenance — overhead you don't want on a personal residence.

Bottom line: If you're buying a home for yourself or a property to rent out, you're using a fideicomiso. If someone tries to talk you into a corporate structure for a single residential purchase, ask why — there's rarely a good reason.

CHAPTER 2

The Fideicomiso, Explained Like You're Five

The three-party structure

A fideicomiso is a bank trust with three roles:

1. **The trustor** — the seller, who transfers the property into the trust
2. **The trustee** — a Mexican bank, which technically holds the deed
3. **The beneficiary** — you, the foreign buyer, with full rights and control

When you buy a property, the seller transfers the deed to the bank, and the bank creates the trust *for you*. You're named as the beneficiary. You sign the trust agreement. From that moment forward, the bank is the custodian and you are the owner in every practical sense.

Think of it like a safe deposit box. The bank owns the box. You own everything in it. The bank can't open the box without your permission, and they can't tell you what to put in or take out.

The term: 50 years, renewable forever

A fideicomiso trust is created with a 50-year term. At the end of 50 years, you (or your heirs) can renew it for another 50 years. There's no limit on the number of renewals.

In practice, almost no one ever renews a fideicomiso. Why? Because most properties change hands long before 50 years pass. Every time a property sells, the existing trust is either transferred to the new buyer or dissolved and replaced with a fresh 50-year trust. By the time 50 years have passed, the property has usually been sold 2-4 times and the trust has been renewed anyway.

The costs

A fideicomiso has two cost components: setup and annual maintenance.

Setup fee: \$2,000 to \$3,000 USD, paid once, at closing. This fee is split between the bank (for creating the trust) and the SRE (for issuing the foreign acquisition permit). It's a one-time cost and it's not negotiable — these fees are standardized.

Annual maintenance fee: \$550 to \$1,000 USD per year, paid to the trustee bank. This fee covers the bank's ongoing role as custodian. It's due on the anniversary of the trust's creation and you'll get an invoice from your bank each year.

The annual fee varies by bank, which is the one place you can save money. Here's the typical range for banks commonly used in Los Cabos:

Bank	Typical Annual Fee
Scotiabank	\$600 – \$900
BBVA	\$650 – \$950
Monex	\$550 – \$800
Santander	\$700 – \$1,000
Banorte	\$650 – \$900

Over the 50-year life of a trust, the difference between a \$550 bank and a \$1,000 bank is \$22,500 — not nothing. Ask your real estate agent or closing attorney which bank they recommend and why. A good agent will get you quotes from two or three.

What happens if the bank fails

This is the most common worry we hear from new buyers, so let's kill it.

If your trustee bank is liquidated, your property is not at risk. The fideicomiso trust is legally separate from the bank's own assets. Mexican banking law requires that failed banks transfer their fiduciary obligations (including your trust) to another authorized bank. The process is automatic, your ownership rights transfer intact, and you don't have to do anything.

In the 50+ years the fideicomiso system has been in operation, no foreign property owner has ever lost property due to a bank failure. The system has handled multiple bank consolidations, foreign acquisitions, and regulatory changes without a single case of beneficiary loss.

Can you change banks?

Yes. You can transfer your fideicomiso from one bank to another at any time. The process takes 2-4 weeks and involves a transfer fee of roughly \$1,000 to \$1,500 USD.

Why would you do this? Usually to get a lower annual fee. If you bought a \$400,000 condo and the original trust was set up with Santander at \$950 a year, moving it to Monex at \$600 a year saves you \$350 annually — which pays back the transfer cost in 3-4 years and then saves you money every year after.

Your heirs

You can name substitute beneficiaries (your heirs) directly in the fideicomiso trust document. This is the single most important estate-planning step for any American who owns property in Mexico, and it's also the most commonly overlooked.

Here's why it matters: if you die without named substitute beneficiaries in your trust, your property goes through Mexican probate. Mexican probate takes 1-3 years, costs real money, and forces your heirs to deal with the Mexican legal system while grieving. If you name substitute beneficiaries in the trust, none of that happens — the trust simply transfers to the named person, typically within 60-90 days.

You can update substitute beneficiaries at any time, for free, by contacting your trustee bank. Do it when you first set up the trust. Update it if your family situation changes. Never skip it.

CHAPTER 3

The Restricted Zone and Why It Matters

What the restricted zone is

The restricted zone is the part of Mexico where foreigners cannot hold direct deed title. It covers:

- All land within **50 kilometers (31 miles) of any coastline**
- All land within **100 kilometers (62 miles) of any international border**

Everything in Los Cabos is in the restricted zone. Everything in Puerto Vallarta is in the restricted zone. Everything in Cancun, Tulum, Playa del Carmen, Punta Mita, Mazatlan, Rosarito, Ensenada, and every other beach destination you've ever considered is in the restricted zone.

Outside the restricted zone — roughly the interior of the country, places like San Miguel de Allende, Mexico City, Oaxaca City, Guadalajara, and rural Puebla — foreigners can hold direct deed title, exactly like buying a house in the US.

Why it's a non-issue for Los Cabos buyers

You might be tempted to read the above and think, "Wait, is there a way to buy somewhere that's *not* in the restricted zone so I can skip the fideicomiso?" There is — but if you're buying in Los Cabos, that's irrelevant. Every square meter of the Baja peninsula is within 50 kilometers of either the Pacific or the Sea of Cortez. There is no Baja property outside the restricted zone. You will be using a fideicomiso.

This is not a downside. The fideicomiso works. It's routine. Your closing attorney sets it up as part of the standard closing process, and you don't have to think about it again after year one.

The SRE permit

Before the fideicomiso can be created, the Ministry of Foreign Affairs (SRE) has to issue a permit authorizing the foreign acquisition. This permit is formally called the *Permiso de la Secretaría de Relaciones Exteriores*.

The permit application is filed by your closing attorney or notario, takes 2-3 weeks to process, and costs approximately \$1,500 MXN (around \$80 USD at current exchange rates). The cost is typically rolled into your closing costs.

The permit is a formality. Rejections are essentially unheard of for standard residential purchases by American and Canadian buyers with no criminal background. The SRE's role is to confirm that the purchase falls within the fideicomiso framework and that there are no red flags — nothing more.

CHAPTER 4

The Step-by-Step Buying Process (From Offer to Keys)

The typical timeline from accepted offer to closing is **40 to 45 days**. Here's what happens in those six weeks.

Step 1 — Find a property and make an offer

Work with a licensed Mexican real estate agent who knows the local market. In Mexico, a "licensed" agent is one who is registered with AMPI (Asociación Mexicana de Profesionales Inmobiliarios) and ideally with the state real estate registry. Most serious agents in Los Cabos are both.

When you find a property you want, your agent writes an offer. The offer typically includes:

- Purchase price
- Earnest money deposit (usually 1-3% of purchase price)
- Closing date
- Any contingencies (inspection, financing, appraisal)
- What's included in the sale (furniture, appliances, art)

The seller either accepts, rejects, or counters. Once you're in agreement, you move to Step 2.

Step 2 — Sign the promissory agreement

The *contrato de promesa de compraventa* (promissory agreement of purchase and sale) is the binding contract that locks in the deal. This is the equivalent of a purchase contract in the US.

Both parties sign. You pay the earnest money deposit — usually held in escrow by a neutral third party or the closing attorney, not given directly to the seller. The clock starts on due diligence and the SRE permit.

Important: Never give earnest money directly to a seller. Always use escrow. Reputable agents and closing attorneys will insist on this, and anyone who pushes back on escrow is a red flag.

Step 3 — Apply for the SRE permit

Your closing attorney or notario submits the SRE permit application within the first few days after the promissory agreement is signed. Processing takes 2-3 weeks. There's nothing for you to do except wait.

Step 4 — Due diligence

While the SRE permit is being processed, your attorney conducts due diligence on the property:

- **Title search** (búsqueda de título) — confirms the seller has clear, unencumbered title and the right to sell
- **Lien check** (certificado de libertad de gravamen) — confirms there are no mortgages, tax liens, or legal judgments against the property
- **Property tax status** (constancia de no adeudo predial) — confirms property taxes are paid current
- **HOA status** (if applicable) — confirms HOA fees are current and there are no special assessments pending
- **Boundary verification** — confirms the property's physical boundaries match the deed description

This is the step where problems get caught. A surprising number of Mexican properties have inherited title issues, unpermitted construction, boundary disputes with neighbors, or outstanding obligations that the seller "forgot" to mention. Due diligence is what protects you from inheriting these problems.

Step 5 — Appraisal (avalúo)

A government-certified appraiser (*perito valuador*) assesses the property's value. The appraisal is required by Mexican law for tax purposes — the acquisition tax (ISAI) is calculated based on the higher of the purchase price or the appraised value.

Appraisals cost \$300 to \$500 USD and take 3-5 business days. Order this through your closing attorney.

Step 6 — Fideicomiso setup

Once the SRE permit is issued, your closing attorney initiates the fideicomiso with your chosen bank. This typically takes 1-2 weeks.

You'll sign the trust agreement at closing — not before. The bank's legal team drafts the document based on the SRE permit and the property details.

Step 7 — Closing (firma)

The closing takes place at the office of a **notario publico** — a government-appointed attorney who is legally required to supervise all real estate transactions in Mexico. The notario is not "your" attorney or "the seller's" attorney; they represent the state, the buyer, and the seller simultaneously, and their job is to ensure the transaction is legal, the documents are correct, and both parties' rights are protected.

At closing, the following things happen, in sequence:

1. The notario reads the key terms of the deed and trust agreement aloud, in Spanish (an interpreter is provided if you don't speak Spanish)
2. You confirm your identity and your intent to proceed
3. The seller confirms their identity and intent
4. Funds are transferred — typically a wire transfer from your attorney's escrow account to the seller's account
5. All parties sign the deed (escritura) and the fideicomiso trust agreement
6. The notario signs, stamps, and seals everything
7. The notario registers the deed with the Public Registry of Property (Registro Público de la Propiedad)
8. You receive the keys and possession of the property

Closings typically take 1-2 hours. You can attend in person (recommended for first-time buyers) or grant power of attorney to a representative who signs on your behalf. If you're attending in person, you'll want to be in the city of the notario's office the day before and the day of.

Step 8 — After closing

The notario's office registers the transaction with the Public Registry and delivers your registered deed to you within 30-60 days after closing. Keep this document somewhere safe — it is your official proof of ownership. Scan it and store the scan somewhere you can access from anywhere.

Welcome home.

CHAPTER 5

Closing Costs and Fees — The Real Numbers

Total closing costs in Mexico typically run **4 to 8 percent** of the purchase price. For a \$500,000 condo, that's \$20,000 to \$40,000. For a \$1 million villa, that's \$40,000 to \$80,000. These costs are paid by the buyer, not the seller (in Mexico, unlike parts of the US, buyers pay closing costs).

Here's a real breakdown of where the money goes, with realistic 2026 numbers:

Acquisition tax (ISAI)

2% to 2.5% of the purchase price

The *Impuesto Sobre Adquisición de Inmuebles* is the Mexican equivalent of a real estate transfer tax. It's a one-time tax paid at closing and calculated as a percentage of the property's assessed value (or purchase price, whichever is higher).

In Los Cabos, the ISAI rate is generally around 2%. In some other Mexican states it runs up to 4.5%, but Baja California Sur is on the lower end.

On a \$500,000 purchase: \$10,000

Notario fees

0.5% to 1.5% of the purchase price

The notario publico's fee for supervising the transaction, drafting the deed, verifying all documents, and registering the transaction with the Public Registry. This is not negotiable — notario fees are set by a state schedule.

On a \$500,000 purchase: \$2,500 – \$7,500

Fideicomiso setup

\$2,000 – \$3,000 USD (flat)

One-time bank trust setup fee. Covers the trust document, the SRE permit, and the bank's initial administrative work. Flat fee regardless of property value.

Appraisal (avalúo)

\$300 – \$500 USD

Required by law for tax calculation. Ordered through your closing attorney.

Title search and lien certificates

\$200 – \$500 USD

Public Registry fees for pulling the property's title history, lien certificates, and tax status documents.

Legal fees

\$1,500 – \$4,000 USD total

Your closing attorney's fee for managing due diligence, the SRE permit application, coordinating with the notario and the bank, and handling escrow. This is separate from the notario fee.

Some transactions use an attorney who also serves as the closing coordinator; some use a separate closing coordinator or real estate agent. Either works.

Title insurance (optional but recommended)

\$1,000 – \$2,000 USD

Title insurance is optional in Mexico but we strongly recommend it. Title insurance protects you against claims on your ownership that weren't discovered during the due diligence process — for example, undisclosed heirs, forged signatures in past deeds, or boundary disputes that come up later.

Stewart Title, First American Title, and Chicago Title all offer Mexican title insurance policies.

SRE permit fee

~\$80 USD (included in closing costs)

Small administrative fee charged by the Ministry of Foreign Affairs for the foreign acquisition permit.

Bank fees and wire transfers

\$100 – \$300 USD

Incidental costs for wire transfers from your US or Canadian account to the escrow account and then to the seller.

Example: Total closing costs on a \$500,000 condo

Item	Cost
ISAI (2%)	\$10,000
Notario fee (1%)	\$5,000
Fideicomiso setup	\$2,500
Appraisal	\$400
Title search and lien certs	\$300
Legal fees	\$2,500
Title insurance	\$1,500
SRE permit	\$80
Wire fees	\$200
Total	\$22,480

That's 4.5% of the purchase price. In the middle of our stated range of 4-8%. If you plan for 6% of purchase price as your closing cost budget, you'll be right in most cases, with some cushion.

Ongoing annual costs

Closing costs are one-time. After you own the property, there are a few small recurring costs:

- **Property taxes (predial):** 0.05% to 0.3% of assessed value per year. For a \$500,000 condo with a \$400,000 assessed value, expect \$200-\$1,200/year. Far lower than US property taxes.

- **Fideicomiso annual fee:** \$550-\$1,000/year
- **HOA fees (if applicable):** \$200-\$800/month for gated communities, \$50-\$300/month for condos
- **Homeowner's insurance:** \$400-\$1,500/year depending on property type and coverage
- **Utilities and maintenance:** Varies (see Chapter 8)

CHAPTER 6

Where to Buy — The Regions of Los Cabos

Los Cabos is not one place. It's a region at the southern tip of the Baja California Sur peninsula, and it has five distinct areas that each attract different buyers for different reasons. Before you make an offer on any property, you need to understand which region fits your life.

1. Cabo San Lucas

The high-energy resort town. This is the tourist hub — cruise ships, nightlife, the famous Arch at Land's End, the Marina district full of yachts and waterfront restaurants, Medano Beach with its rows of beach clubs. Downtown Cabo buzzes. If you want to walk out your door to dinner, bars, music, and action, this is your region.

Pricing:

- Entry condos: \$250K – \$400K
- Mid-range: \$500K – \$1.5M
- Luxury: \$2M – \$15M+
- Pedregal (the prestige address): \$500K entry to \$15M cliffside estates

Best for: Buyers who want resort-town energy, short-term rental income (Cabo has the strongest vacation rental demand in the region), and walkability.

2. The Tourist Corridor

The 20-mile strip between the two towns. This is where the ultra-luxury lives — branded resort residences (Ritz-Carlton, Montage, One&Only, Nobu), world-class golf courses (Chileno Bay, Querencia, Palmilla, Cabo Del Sol, Cabo Real), and gated communities with private beach clubs. The Corridor is quieter than downtown Cabo but more connected than anywhere else in the region.

Pricing:

- Entry: \$500K
- Mid-range: \$1.5M – \$5M
- Luxury: \$5M – \$29M+

Best for: Luxury buyers, golfers, and buyers who want the best of both Cabo and San Jose without committing to either.

3. San Jose del Cabo

The cultural heart. Downtown San Jose is built around a colonial-era plaza with a mission church that dates to 1730. The Art District features galleries, farm-to-table restaurants, and the famous Thursday Art Walk. The pace is slower, the streets are quieter, and the community is more authentically Mexican than Cabo.

San Jose is 15-25% cheaper than comparable Cabo San Lucas properties, which makes it the value play in the region.

Pricing:

- Entry condos: \$350K
- Mid-range: \$500K – \$1.5M
- Luxury: \$1.5M – \$2.5M
- La Playita (the emerging surf neighborhood): \$128K entry to \$1.9M

Best for: Buyers who want culture, tranquility, authentic Mexican character, and better value than Cabo.

4. East Cape

The frontier. East of San Jose del Cabo, past the airport, the East Cape stretches for 60 miles along the Sea of Cortez. This is where the big development is happening — Costa Palmas (with its Four Seasons and Aman residences) has transformed the area in the last five years. Outside of Costa Palmas, it's still raw, quiet, and cheap by Los Cabos standards.

Pricing:

- Entry: \$400K
- Costa Palmas luxury: \$3M – \$20M+
- Outside the gated developments: \$250K – \$1.5M

Best for: Buyers who want privacy, strong appreciation potential, and don't mind a 45-minute drive to downtown San Jose.

5. Pacific Side

The surfer's coast. The Pacific Side runs north from Cabo San Lucas along the Pacific Ocean and includes Cerritos Beach, Todos Santos (the famous colonial town), and the emerging developments near Pescadero. Cooler temperatures than the Sea of Cortez side, world-class surfing, and a more bohemian, artistic vibe.

Pricing:

- Entry: \$300K
- Mid-range: \$500K – \$1.5M
- Luxury: \$1.5M – \$5M

Best for: Surfers, buyers who want to get away from the resort scene, and people who love Todos Santos's artistic community.

How to choose

The honest answer: visit. Stay a week in Cabo, a week in San Jose, and take a day trip each to the East Cape and the Pacific Side. You'll know within a few days which region feels like home. Everyone who buys in Los Cabos tells the same story — they arrived thinking they'd buy in one region and ended up falling in love with a different one.

CHAPTER 7

The 10 Most Expensive Mistakes Buyers Make

After hundreds of transactions, these are the mistakes we see buyers make over and over. Each one of them costs real money. Learn from other people's pain.

Mistake 1 — Wiring money directly to the seller

Cost: The entire purchase price, if you're unlucky.

Never, ever send earnest money or closing funds directly to a seller's bank account. Always use escrow — either the closing attorney's escrow account or a dedicated escrow service. Scammers have been known to impersonate sellers, spoof email addresses, and intercept wire transfers. Escrow protects you.

Mistake 2 — Skipping the title search

Cost: Your ownership.

A surprising percentage of Mexican properties have title issues — inherited ownership disputes, unpermitted construction, boundary disputes, outstanding tax liens. Title searches catch these problems before you close. Skipping this step to save \$500 is the most expensive false economy in Mexican real estate.

Mistake 3 — Not getting title insurance

Cost: Unknown, up to the entire property value.

Title insurance is optional in Mexico but costs \$1,000-\$2,000 and protects you against issues that weren't caught during due diligence — undisclosed heirs appearing later, forged documents in past deeds, boundary disputes. For a minor fraction of the purchase price, you get protection against catastrophic risk.

Mistake 4 — Using a notario you don't know

Cost: Weeks of delays, possibly failed closings.

The notario publico is appointed by the state, but the buyer gets to choose which notario handles the closing. Not all notarios are equal — some run efficient, professional offices; others are slow, disorganized, and prone to errors. Ask your closing attorney to recommend a notario they work with regularly.

Mistake 5 — Not naming substitute beneficiaries in the fideicomiso

Cost: 1-3 years of probate for your heirs.

If you die without named substitute beneficiaries in your trust, your property goes through Mexican probate. This is brutal for your family. Fix it by naming substitute beneficiaries when you set up the trust — it's free, it takes five minutes, and it saves your heirs enormous pain.

Mistake 6 — Underestimating closing costs

Cost: Cash flow stress at closing.

Buyers often budget for the purchase price and forget that 4-8% in closing costs comes on top. Budget 6% as a safe middle-ground number and have the funds liquid and ready 30 days before closing.

Mistake 7 — Buying unpermitted construction

Cost: Fines, demolition orders, inability to sell.

Some Mexican properties — especially older ones and properties in rural areas — have additions, pools, or entire structures built without proper permits. If you buy a property with unpermitted construction, you inherit the problem. Fines can reach 5% of the property value, and in extreme cases the government can order demolition. Always verify that every structure on the property is permitted through your due diligence.

Mistake 8 — Not visiting the property in person

Cost: Regret.

We have seen buyers purchase properties based on photos and video tours, only to discover on arrival that the view is blocked, the road in is impassable half the year, the neighbor runs a noisy business, or the "beachfront" property is across a highway from the beach. Photos lie. Always visit before closing.

Mistake 9 — Assuming US tax rules don't apply

Cost: IRS penalties and back taxes.

If you're a US citizen, you still pay US taxes on rental income from your Mexican property, you still have to report foreign bank accounts over \$10,000 (FBAR), and you may have FATCA reporting requirements. A cross-border tax accountant (\$500-\$1,500/year) is not optional — it's insurance against expensive IRS mistakes.

Mistake 10 — Choosing the wrong agent

Cost: Bad advice, bad properties, lost opportunities.

The Mexican real estate market has no MLS equivalent to the US. Good inventory is held by good agents, and bad agents will steer you toward properties that pay them the best commission instead of properties that match your criteria. Interview multiple agents. Ask for references from recent buyers. Work with someone registered with AMPI who has been in the market for years, not months.

CHAPTER 8

What Life Actually Costs Once You Live There

Buying a property is one thing. Living there is another. Here's what your monthly life will cost once you own a place in Los Cabos.

The quick answer

A comfortable lifestyle for a couple in Cabo San Lucas or San Jose del Cabo costs **\$2,500 to \$4,500 USD per month**. Budget lifestyle: \$1,650-\$2,600. Luxury lifestyle: \$6,200-\$13,800+.

Most American expats report saving 30-50% compared to comparable US cities like San Diego, Miami, or Scottsdale.

The category breakdown

Category	Budget	Comfortable	Luxury
Housing (rent or HOA/maintenance if owned)	\$800–\$1,200	\$1,500–\$2,500	\$3,000–\$8,000+
Groceries	\$300–\$400	\$500–\$700	\$800–\$1,200
Dining out	\$150–\$250	\$300–\$500	\$800–\$1,500
Utilities	\$100–\$150	\$200–\$300	\$300–\$500
Healthcare	\$100–\$200	\$200–\$400	\$400–\$800
Transportation	\$100–\$200	\$200–\$400	\$400–\$800
Entertainment	\$100–\$200	\$300–\$500	\$500–\$1,000+

Category	Budget	Comfortable	Luxury
Monthly Total	\$1,650–\$2,600	\$3,200–\$5,300	\$6,200–\$13,800+

Where the savings come from

Groceries at local markets and Mexican supermarkets (Soriana, Chedraui, La Comer) cost 30-40% less than US prices. Fresh produce, seafood, and Mexican staples are particularly cheap. Imported American brands at Costco cost closer to US prices.

Dining out is where you'll notice the biggest savings. A meal at a local Mexican restaurant runs \$5-\$12 per person. Mid-range restaurants: \$15-\$30. High-end dining: \$50-\$100 — still 30-40% less than equivalent US restaurants.

Healthcare is 50-70% cheaper. A doctor visit: \$30-\$60. A dental cleaning: \$40-\$80. A specialist consultation: \$50-\$100. Private health insurance for expats: \$150-\$400/month per person. Los Cabos has two excellent private hospitals (H+ and Blue Net) with US-trained, English-speaking doctors.

Property taxes are the biggest structural savings. Mexican property taxes average 0.1% of assessed value annually — a tiny fraction of US rates. A \$500,000 property that would cost you \$5,000-\$12,000 in annual property taxes in California costs \$200-\$1,200 in Mexico.

Where costs are higher

Imported goods cost more than in the US. American brand-name groceries, cars, electronics, and household goods are more expensive in Mexico because of import duties and shipping.

Electricity during summer can be shocking. Mexico subsidizes residential electricity through the CFE tiered rate system, but if you exceed the subsidized tier (which is easy to do with AC running 24/7 in July-September), rates jump dramatically. Expect \$200-\$500/month for electricity during peak summer months in a decent-sized home.

Cross-border tax preparation adds \$500-\$1,500/year if you're a US citizen and need both Mexican and US filings.

The honest math

For most American retirees and second-home owners, the total cost of living in Los Cabos — including property ownership costs, monthly expenses, and cross-border overhead — is about 35-45% cheaper than an equivalent lifestyle in a coastal US city like San Diego, Miami, or Scottsdale. The weather is

better, the healthcare is cheaper, and the food is as good or better.

CHAPTER 9

Myths That Cost Buyers Money

Myth 1 — "You don't really own the property, the bank does"

The truth: The bank holds the deed as a trustee, but you hold every practical right of ownership. You can sell, rent, remodel, and pass it to your heirs. The bank is a custodian, not a landlord. This myth comes from confusing the fideicomiso with a lease, which it absolutely isn't.

Myth 2 — "Mexican real estate is dangerous for foreigners"

The truth: Los Cabos consistently ranks as one of the safest regions in Mexico and one of the most foreign-friendly real estate markets in the world. The legal framework is stable, the notario publico system provides independent oversight, and millions of successful foreign transactions have taken place since 1971. The "danger" you hear about on the news is almost entirely in cartel-affected border states, not in Los Cabos.

Myth 3 — "Buying in a Mexican corporation is better than a fideicomiso"

The truth: For a single residential property, corporate ownership adds cost, complexity, and annual tax filings without providing meaningful benefit. Corporations make sense for commercial property or multi-investor deals, not for a vacation home or rental condo. Anyone pushing you toward corporate ownership for a single residential purchase is either badly informed or has a conflict of interest.

Myth 4 — "You can't get a mortgage to buy in Mexico"

The truth: You can, though the market is smaller and the terms are less favorable than the US. Mexican banks offer mortgages to qualified foreign buyers at 50-70% loan-to-value and 8-12% interest. US cross-border lenders (InterCam, MoXi, Global Mortgage) also work in this market. That said, roughly 80% of foreign real estate purchases in Los Cabos are cash — not because mortgages are unavailable, but because buyers at this price point typically have the cash.

Myth 5 — "I need a Mexican bank account to own property"

The truth: A Mexican bank account is not required. Many foreign property owners handle everything from their US or Canadian accounts. That said, having a Mexican account simplifies ongoing expenses (property taxes, HOA fees, utilities), and most buyers open one within the first year of ownership.

Myth 6 — "The fideicomiso is temporary and I'll lose the property in 50 years"

The truth: Trusts are renewable forever. In practice, almost no one ever renews — properties are typically sold 2-4 times in 50 years, and each sale creates a fresh 50-year trust. The 50-year term is an administrative technicality, not an ownership limitation.

Myth 7 — "I can save money by skipping the notario and title search"

The truth: You can't skip the notario — it's legally required. And skipping the title search is the single fastest way to buy a property with a problem you can't see until it's too late. These are not places to cut corners. The combined cost of a proper notario and title search is a tiny fraction of the purchase price.

CHAPTER 10

Your Buyer's Checklist + Next Steps

The 30-60-90 day pre-purchase checklist

90 days before offer

- ☐ Define your budget (purchase price + 6% closing costs + cash reserves)
- ☐ Research the five Los Cabos regions and narrow your preference
- ☐ Plan a scouting trip of at least 5 days
- ☐ Start gathering proof-of-funds documents
- ☐ Interview 2-3 real estate agents by phone before arriving

60 days before offer

- ☐ Take the scouting trip — visit multiple regions and multiple properties
- ☐ Select an agent you trust
- ☐ Select a closing attorney (not the same person as your agent)
- ☐ Tour short-listed properties and make note of the ones that fit your criteria
- ☐ Review comparable sales (comps) for your target price range

30 days before offer

- ☐ Revisit top 2-3 properties
- ☐ Get inspection quotes
- ☐ Confirm proof-of-funds letter from your bank
- ☐ Have your agent prepare an offer on your top choice

Offer to closing (~45 days)

- ☐ Sign the promissory agreement and wire earnest money to escrow

- ☐ Your attorney files the SRE permit application
- ☐ Complete inspection and due diligence
- ☐ Complete the appraisal
- ☐ Select a fideicomiso bank and get the annual fee quote
- ☐ Wire closing funds to escrow 7-10 days before closing date
- ☐ Attend closing at the notario's office
- ☐ Receive keys

After closing

- ☐ Get scanned copies of your deed and trust documents
- ☐ Name substitute beneficiaries in your trust (if not already done)
- ☐ Set up utilities in your name
- ☐ Open a Mexican bank account (optional but recommended)
- ☐ File for Mexican property tax registration
- ☐ Talk to a cross-border accountant before year-end

The 27-Point Pre-Offer Checklist

The 30-60-90 plan above is your *timeline*. This checklist is your *filter* — run all 27 points on every specific property before you sign anything. Print this page. Every item below is something our team verifies before a client makes an offer, and every one of them exists because someone, somewhere, lost money by skipping it.

Title & legal — the deal-breakers

- ☐ Seller's name matches the public registry title exactly
- ☐ Certificate of no liens (certificado de libertad de gravamen) issued within the last 30 days
- ☐ Property is fully titled private land — not ejido land and not "in regularization"
- ☐ No pending litigation, inheritance disputes, or unpaid taxes on record
- ☐ Fideicomiso is assumable, or a new trust is pre-approved by the bank
- ☐ Notario publico selected and fee quote received in writing
- ☐ Independent legal review completed (for pre-construction: always, no exceptions)

Money & terms

- ☐ Offer priced against 3+ recent comparable sales — not against list prices
- ☐ Licensed escrow company opened before any deposit moves
- ☐ Deposit refund conditions written into the offer
- ☐ Full closing-cost estimate in writing
- ☐ Currency and exchange-rate mechanics confirmed for closing day
- ☐ If pre-construction: payment schedule tied to construction milestones, not dates
- ☐ Title insurance quote obtained

The property & community

- ☐ Professional inspection completed (yes, home inspectors exist in Cabo — use one)
- ☐ CFE (electric) bills reviewed — confirms real usage and no hidden debts
- ☐ Water source confirmed (municipal, well, or truck delivery)
- ☐ HOA financials, reserves, and rules reviewed
- ☐ HOA dues and predial (property tax) payments current
- ☐ Short-term rental rules confirmed in writing (if rental income matters to you)
- ☐ Internet speed tested at the property (if you'll work remotely)
- ☐ Hurricane construction standards verified and insurance quote obtained
- ☐ Visited at different times of day — noise, wind, traffic, neighbors

Your exit & future

- ☐ Resale outlook assessed — who is the future buyer for this property?
- ☐ Rental income projection built from real comps, not the listing agent's estimate
- ☐ Capital gains (ISR) planning discussed *before* purchase — how you buy affects how you're taxed when you sell
- ☐ Substitute beneficiaries planned for the trust — your estate plan, sorted on day one

How to use it: if a property fails any item in the Title & Legal group, walk away. If it fails items in the other groups, that's not necessarily a no — it's a negotiation point or a price adjustment. The checklist doesn't kill deals. It kills *bad* deals.

Your next step

Reading this guide is the easy part. The harder part is actually getting off the fence, planning a trip, and looking at properties. That's where we come in.

Our team at Living In Cabo has helped hundreds of Americans and Canadians find, purchase, and close on properties in Los Cabos. We work with Ronival — the largest and most trusted real estate brokerage in Baja California Sur — which gives us access to every listing in the market and deep relationships with the notarios, banks, and closing attorneys who handle these transactions daily.

When you're ready, here's what to do:

- 1. Visit livingincabo.com** — explore our community guides, development profiles, and buyer resources
- 2. Schedule a free consultation** at livingincabo.com/contact — we'll talk through your goals, budget, and timeline
- 3. Plan your scouting trip** with our team's help — we'll recommend properties to tour, coordinate schedules, and make sure your time in Cabo is productive
- 4. Close on the right property** with a team that has done this hundreds of times

The buying process works. The legal framework protects you. The properties are real, the views are real, and the life you're picturing for yourself is actually achievable. The only thing standing between you and a keys-in-hand moment at a notario's office in Los Cabos is a phone call.

Make the call. We're ready when you are.

About Living In Cabo

Living In Cabo is the editorial home for Americans and Canadians buying, moving to, and living in Los Cabos. We partner with Ronival Real Estate — Baja California Sur's largest and most trusted brokerage — to connect buyers with the properties, people, and resources they need to make confident decisions about property in Mexico.

We are not the MLS. We are not a discount listings site. We are the team you talk to when you're serious about owning property in Mexico and you want a partner who has been through the process hundreds of times and knows every pitfall by name.

livingincabo.com [guide.livingincabo.com](https://livingincabo.com/guide)

© 2026 Living In Cabo. In partnership with Ronival Real Estate. All rights reserved.

This guide is for educational purposes and does not constitute legal, financial, or tax advice. Always consult with licensed professionals before making real estate, tax, or legal decisions in Mexico.